

Oberoi Realty Ltd

Concall Tracker · Publish quarter: Q1 FY27 (Q1-2027) · Prepared 24 Jul 2026 · First coverage (no prior report)

Two questions: (1) Is there a durable earning trigger? (2) Has management been consistent about it?

1. Snapshot

What the business does: Oberoi Realty is a premium real-estate developer focused on the Mumbai Metropolitan Region (MMR), now taking its first step outside it into Gurugram (NCR). It makes money two ways: *selling* high-end homes it builds (Goregaon, Borivali, Thane, South Mumbai) — the bulk of revenue — and *renting out* a growing portfolio of malls, offices and hotels (Oberoi Mall, Sky City Mall, Commerz offices, Westin/Ritz-Carlton hotels) that throw off steady annuity income.

₹66,174 cr MARKET CAP — TOTAL VALUE OF THE COMPANY ON THE MARKET	₹4,916 cr FY26 REVENUE — TOTAL SALES, UP ~12% OVER FY25'S ₹4,372 CR	₹1,968 cr FY26 NET PROFIT — UP ~11% OVER FY25; A RECORD YEAR
54% OPERATING MARGIN FY26 — ~54P OF EVERY ₹1 OF SALES IS OPERATING PROFIT; UNUSUALLY HIGH	30.3 PRICE-TO-EARNINGS — INVESTORS PAY ~₹30 PER ₹1 OF YEARLY PROFIT; A RICH, GROWTH RATING	₹2,825 cr BORROWINGS (MAR 2026) — LOW DEBT VS ₹15,729 CR RESERVES; DOWN FROM ₹3,298 CR A YEAR AGO

Ownership steady: promoters (the Oberoi family) hold 67.7% and have not sold a share through the period. Foreign funds trimmed (17.8%→15.1% over two years) while domestic funds added (11.6%→14.8%). ROCE ~15% / ROE ~12.5% — decent but not spectacular, held back by a large land/inventory base that ties up capital.

2. Concall coverage

Screener carried 12 transcripts covering the last ~3 years (Aug 2023 to May 2026). This report reads across that full window; there was no prior Oberoi report in the repo, so this is a fresh, full read. The pre-2023 calls Screener lists were older stubs outside our window and were not needed.

Quarter	Call date	Read?
Q1 FY24	01 Aug 2023	Yes (window start)
Q4 FY24	15 May 2024	Yes
Q4 FY25	29 Apr 2025	Yes
Q2 FY26	17 Oct 2025	Yes
Q3 FY26	20 Jan 2026	Yes
Q4 FY26	11 May 2026	Yes — latest available ★

Spans 3 financial years (FY24–FY26). The Q1 FY27 result (quarter ended Jun 2026: sales ₹1,038 cr, net profit ₹508 cr) was already reported, but its concall transcript was not yet on Screener as of this report — so the freshest *call* read is Q4 FY26 (May 2026).

2b. Latest concall highlights — Q4 FY26 (11 May 2026) ★

- **Record FY26, but a "sustenance year."** Revenue ₹4,916 cr (+12%) and net profit ₹1,968 cr (+11%) were the highest ever; bookings were ~₹5,400 cr — broadly flat, which management openly called a year of "not much growth" because new launches slipped.
- **FY27 lined up as the big launch year.** Q1 FY27 alone was to see Three Sixty North (the Gurugram debut, with L&T as contractor), Carter Road "Oceanic", Malabar Hill "Fairview" and Forestville Tower D; then Jardin Tower A, Ralliwolf (Mulund), Adarsh Nagar (Worli), Aurelius (Pedder Road), the railway-land RLDA project and Alibaug through the year.
- **Heavy business development — ~4 million sq ft added.** 11 acres in Bandra East, ~2 million sq ft at Aram Nagar-Versova, redevelopment tie-ups in South Mumbai (Pedder Road, Malabar Hill, Nepean Sea Road), and the Horizon Hotel acquired via an NCLT resolution (possession taken 7 May 2026). This refills the land bank that feeds future launches.
- **Annuity assets scaling.** Sky City Mall (Borivali) reached 72% occupancy within its first year; Commerz III office hit 98% leased; the Ritz-Carlton hotel at Worli (200+ keys) was targeted to launch within FY27.
- **Tone: confident but candid.** Management admitted FY26 launches slipped into FY27 while it "perfected" products, and flagged input costs up 2–3% (energy, aluminium, glass, labour) — absorbed within built-in contingencies. Three Sixty West (Worli ultra-luxury) slowed to 10 units sold vs 17 the prior year.

2c. Business mix & capacity

Domestic vs export: Effectively 100% domestic — this is an India (MMR + new NCR) developer; there is no export revenue and no domestic/export split is disclosed. The geographic mix is Mumbai-dominant, with Thane and the first Gurugram project as the new growth legs.

"Utilization" (annuity assets): The rent-yielding portfolio is running near-full — Oberoi Mall ~99%, Commerz II ~100%, Commerz III ~98% (Q4 FY26), and Sky City Mall ramping from ~53% (Oct 2025) to 72% (May 2026), targeted at 100% by Mar 2027. Plain read: the offices and mature mall are essentially full, so incremental rent growth now comes from Sky City filling up and new assets (hotels, I-Ven) opening.

Development "capacity": Rather than a factory utilization number, the relevant gauge is the launch pipeline — ~4 million sq ft of fresh development rights added in FY26, plus 10+ projects queued for FY27. Management also deliberately *holds back* finished inventory (even at Elysian/Three Sixty) rather than sell cheap, since RERA-locked cash already funds construction.

3. Earning-trigger thesis ★

The trigger is a twin engine: a large, visible residential launch pipeline feeding into a steadily scaling annuity (rent) portfolio.

Management's consistent message across three years is that record cash flows are being recycled into (a) more land/redevelopment across MMR and now NCR, and (b) rent-yielding malls, offices and hotels. The near-term catalyst is FY27, repeatedly framed as the "big year" once launches that slipped out of FY26 (Gurugram, Adarsh Nagar Worli, several Thane/Borivali/Goregaon towers) finally hit the market.

Trigger	What management said	Evidence so far	Horizon	Strength
FY27 launch wave (Gurugram debut, Worli, Thane, South Mumbai redevelopments)	FY27 will be "much bigger"; whatever was lost in FY26 gets covered in FY27; L&T appointed at Gurugram.	Pipeline is real and approvals progressing, but the same launches have slipped repeatedly since FY24 — none of the marquee Greenfield launches had happened by May 2026.	FY27 (now)	Moderate–Strong. High revenue potential (single towers >₹3,000 cr GDV) but timing keeps slipping — this is the year it must show.
Annuity / rental scale-up (Sky City Mall, Commerz III, hotels, I-Ven)	Rentals to cross a ~₹1,000 cr run-rate; Sky City to 100%; Ritz-Carlton & JW Marriott hotels to open.	Delivered steadily — Commerz III leased 90%→98%, Sky City ramped fast (footfalls ~2x Oberoi Mall), hotels progressing. This engine has done what was promised.	Playing out	Strong. Concrete, recurring, and on-track; lowers cyclicity of the sales business.
Business-development / land-bank refill (BD as a standing vertical)	Recycle record cash into profitable land; ~4M sq ft added FY26; enter Gurugram, Alibaug.	Consistently delivered — Adarsh Nagar, Nepean Sea Road, Bandra East, Aram Nagar, Horizon Hotel, I-Ven all added; mostly deferred-payment / revenue-linked, so low upfront cash.	Ongoing	Strong. Feeds the pipeline for the next decade; disciplined on price/margin.

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24 (Aug'23–May'24)	Thane (Pokhran/Kolshet) launches festive 2023; Borivali mall Oct 2024; ramp business development; monetize Three Sixty West after partner's exit.	Thane launched and sold well; Sky City (Borivali) mall soft-launched FY25; BD ramped (Adarsh Nagar signed). Record profits. Largely done.	Delivered
FY24–FY25	Rentals to cross ~₹1,000 cr run-rate "this year" as Commerz III + mall come on; Commerz III to 80–85% leased.	Commerz III leased up to 98% by FY26; Sky City ramping; rental base grew as promised, though full ₹1,000 cr run-rate builds gradually.	Delivered / On-track
FY25 (Apr'25)	Gurugram, Adarsh Nagar and several towers to launch "this year / H2 FY26"; Adarsh Nagar "should happen this year."	These slipped. By Q3 FY26 none of the marquee Greenfield launches had happened; pushed into FY27.	Missed (timing)
Q3 FY26 (Jan'26)	Acknowledged slippage; Gurugram/Worli "touch and go" for Q4 FY26, else Q1 FY27.	Still not launched by the Q4 FY26 call (May'26); reset again to FY27. Q3 pre-sales were the lowest in 9 quarters.	Missed (timing)
Sky City Mall leasing	~90% by year-end (stated a couple of quarters earlier).	56% (Jan'26) → 72% (May'26); management chose to lease slower to maximise rents. Target reset to 100% by Mar 2027.	Partly / Slipping

Narrative drift: The *strategy* has been remarkably steady for three years — build premium, recycle cash into land and rent-yielding assets, and refuse to chase volume at low prices. Where it drifts is *timing*: residential launches (especially Gurugram and Adarsh Nagar Worli) have slipped quarter after quarter, and management candidly admitted in Q3 FY26 "we just got it wrong" by over-perfecting products. Notably, the promoter is unusually honest — repeatedly refuses to give sales guidance ("many a slip between the lip and the sip") and owns the misses rather than spinning them. Financial results (revenue, profit, annuity) have nonetheless kept hitting records, so the substance is intact even where the calendar isn't.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a concrete, still-live, multi-year driver: a large visible residential pipeline (₹3,000 cr-plus per tower, now spanning MMR plus a Gurugram entry) feeding a fast-scaling annuity portfolio (Sky City, Commerz III, hotels), all backed by ~4 million sq ft of fresh business development and a debt-light balance sheet. Record FY26 revenue and profit, near-full offices, and a ramping mall show it is already playing out. The one real caveat is timing risk — the trigger's *acceleration* hinges on the long-delayed FY27 launch wave finally landing.

Management consistent? → MAYBE

Consistency is genuinely mixed. On the annuity build-out, business development, financial delivery and capital discipline, management has done what it said — steadily and with candour. But on residential launch timelines it has a repeated pattern of slippage: Gurugram and Adarsh Nagar Worli have been "coming this year" since FY25 and were still unlaunched at the latest call, and the Sky City leasing target slipped. The story hasn't changed, but the delivery clock keeps resetting — hence MAYBE rather than YES. FY27 execution on the promised launches is the test that would push this back toward YES.

Sources: Oberoi Realty earnings-call transcripts (Screener.in), Q1 FY24 (Aug 2023) through Q4 FY26 (May 2026); Screener.in financial snapshot tables. This is not investment advice — do your own due diligence.